



AGENDA BILL

Agenda Item No. 9.B.

Date: September 17, 2024
To: El Cerrito City Council
From: Crystal Reams, Finance Director/City Treasurer, Finance Department
Subject: FY 2023-24 General Fund Budget Quarterly Update through June 2024

ACTION PROPOSED

Receive and file an update on City General Fund revenues and expenses for FY 2023-24 through June 2024.

BACKGROUND AND ANALYSIS

The El Cerrito City Council adopted an annual Budget for FY 2023-24 on June 20, 2023. The Council has closely monitored the City's budget and financial position and directed City staff to submit quarterly General Fund financial update reports. The attached FY 2023-24 Fourth Quarter General Fund Update reflects the unaudited year-end projections and includes estimated final expenditures.

The report shows the unaudited General Fund revenues at \$52,154,276, or \$3,471,313 above budget (107% of budget), and expenditures including estimated year-end accruals at a total of \$52,340,189 or \$2,651,928 below budget (95% of budget). The projected unaudited year-end total General Fund balance is estimated to be \$22,957,167; this includes \$9 million designated for the Emergency Disaster Relief Fund (EDRF) and \$1.37 million in the Section 115 Pension Trust, and represents 43% of General Fund expenditures.

Staff have calculated these numbers based on the most current information as of the date of this report, but it is important to note that these numbers are unaudited. During the completion of the fiscal year-end close, which is underway, and during the annual independent audit, which is set to take place the first week in November, there may be adjustments to both revenues and expenses with the verified year-end totals to be included in the Annual Comprehensive Financial Report (ACFR) once it is completed.

STRATEGIC PLAN CONSIDERATIONS

This report is consistent with the City's Strategic Plan Goal High-Performing Organization: Ensure the City maintains a strong financial position – and will allow the City Manager to develop a plan to ensure that Citywide revenue meets the cost of providing Citywide services, including adequate reserves in the face of significant unanticipated revenue shortfalls. It further ensures procedures that represent best practices in financial management.

ENVIRONMENTAL CONSIDERATIONS

This section is not applicable to this agenda item.

FINANCIAL CONSIDERATIONS

The unaudited FY 2023-24 General Fund Fourth Quarter Update reflects revenues totaling \$52,154,276 or \$3,471,313 above budget (107% of budget), and expenditures including estimated year-end accruals at a total of \$52,340,189 or \$2,651,928 below budget (95% of budget). The projected unaudited year-end total fund balance is estimated to be \$22,957,167; this includes \$9 million designated for the EDRF and \$1.37 million in the Section 115 Trust.

LEGAL CONSIDERATIONS

This section is not applicable to this agenda item.

Reviewed by:

A handwritten signature in blue ink, appearing to read "Karen Pinkos".

Karen Pinkos, City Manager

Attachments:

1. FY 2023-24 4th Quarter General Fund Update



General Fund Budget Update

Quarter 4 FY 2023-24

4/01/2024 – 06/30/2024

INTRODUCTION

The City of El Cerrito is pleased to submit the Quarter 4 FY 2023-24 General Fund Budget Update, for the period 04/01/2024 through 06/30/2024. The report provides a high-level overview of the City's status on the budget, with expenditures by Department, showing unaudited actuals.

City Staff is still in the process of completing the fiscal year-end close with an anticipated completion date in October. The City's annual independent audit is scheduled for the first week of November. This process will audit the year-ending totals, which will verify all balances which may be subject to adjustments, therefore the audited actuals may be slightly different than what is presented in this Update. However, these unaudited actuals are based on the current information as of the date of this report.

SUMMARY

The City of El Cerrito's unaudited actuals show that the City has met its budget targets for FY 2023-24 and has a slight projected change in the General Fund balance of (\$185,914) for a projected year-end General Fund balance of \$22,957,167, or 43% of General Fund expenditures.

During FY 2023-24, several budget adjustments were approved by the City Council. Items approved prior to mid-year totaled \$3.1 million appropriated from the General Fund balance; during the mid-year budget review adjustments included \$2.3 million and \$1 million for FY 2022-23 PO Roll-Forward. The total adjustments from General Fund balance were \$6.4 million as shown in Table 1.

Table 1
General Fund Approved One-Time Fund Balance Uses

Items approved at mid-year		Status
6,270	Council Salary Increases	Completed
125,000	Public Information Measure R	Ongoing; completed for FY24
376,484	Insurance Premium & SEIU Increase	Completed
90,000	IT Cyber Attack Deductible	Completed
466,000	CD Staffing/Consulting Costs - Increases in Permitting Activity	Completed
337,000	Fire OT Increase in Emergency Fire Engine Repairs	Completed
186,000	Wildcat Inspection Services, Emergency Tree Work, Filled Vacancies	Completed
510,000	Recreation staffing/contractors increased program activities	Completed
350,000	Repayment of MSC Loan Transfer to CIP	Completed
2,446,754		
Items approved outside of mid-year (referenced in mid-year report)		
75,000	Emergency Back-up Generator for Fire Station 52	Pending final acceptance; included in GF PO Roll
75,000	Arlington Park Improvements	Completed
184,269	El Cerrito Safety Element	Ongoing; included in GF PO Roll
1,000,000	115 Trust Contribution	Completed
1,604,631	Property Purchase	Completed
86,078	Landscape Maintenance Services Contract	Completed
1,084,800	Park & Facility Deferred Maintenance and Repair Projects	Completed
4,109,778		
6,556,532	Total Increase in Expenditures	
154,200	Total Increase in Revenue	
(6,402,332)	Approved Change in Fund Balance FY24	
93,178	Originally Budgeted Change in Fund Balance	
(6,309,154)	Net Change in Fund Balance	

These appropriations are not considered revenues for the FY 2023-24 Budget, thus the result was a projected change in the General Fund balance of (\$6.4 million). However, at year-end, the unaudited actuals show that the City exceeded its revenue budget by 7% and came in under its expenditure budget by 5%.

- Revenues came in higher than budget primarily due to Property Tax receipts, Measure R, Franchise Taxes, Utility Users' Taxes, and Interest Income.
- Expenditures came in lower than budget primarily because Departments have continued to maintain fiscal prudence and have operated within budget. Further, over \$1 million in Purchased Professional and Technical Services funds that were slated for various consultant services were not utilized due to timing and internal resource constraints.

In summary, the City's prudent spending and better than expected revenues has eliminated the need for the reduction of the entire \$6.4 million to the General Fund Balance, and the projections indicate instead a year-end reduction of \$185,914.

GENERAL FUND REVENUES

The Amended General Fund Revenue budget, including City Council approved FY 2023-24 budget amendments that increased revenues by \$154,200, totaled \$48,682,963. The year-end projected total is \$52,154,276, which is 7% over the Amended Budget. Table 2 and 3 show the unaudited year-end revenue totals by Classification and Department, respectively.

Table 2
General Fund Revenue – Classification
Quarter 4

Classification	Budget Amount (Amended)	YTD – Q4 Projected Amount	% of Budget	Prior YTD – Q4 Actual Amount
Property Taxes	\$11,417,064	\$12,557,243	110%	\$12,069,228
Sales Taxes	3,998,666	4,406,504	110%	4,520,105
Transient Occupancy Taxes	150,000	89,451	60%	107,817
Measure R Sales Tax	3,855,000	4,322,227	112%	4,651,914
Franchise Taxes	1,400,000	1,854,939	132%	1,604,218
Business License Taxes	1,150,600	1,128,561	98%	1,069,964
Property Transfer Taxes*	3,300,000	3,129,523	95%	4,157,840
Utility Users' Taxes	3,520,000	4,015,245	114%	4,100,286
Other Taxes	1,500	5,936	396%	7,776.16
Taxes Totals	\$28,792,830	\$31,509,631	109%	\$32,289,149
Charges for Services Totals	7,594,420	7,426,397	98%	6,680,113
Fines & Forfeitures	145,000	231,231	159%	115,407
Intergovernmental Revenues	8,393,092	8,923,068	106%	8,279,108
Licenses & Permits	1,284,618	1,272,849	99%	1,051,538
Other Financing Sources Totals	977,182	977,182	100%	975,783
Other Revenue Totals	911,748	795,044	87%	698,237
Use of Money and Property	584,073	1,018,874	174%	728,936
Totals	\$48,682,963	\$52,154,276	107%	\$50,818,269

Table 3
General Fund Revenues – Department
Quarter 4

Revenue	Budget Amount (Amended)	YTD -Q4 Projected Amount	% of Budget	Prior YTD – Q4 Actual Amount
Administration	\$140,100	\$29,763	21%	\$35,869
Community Development	2,841,226	2,945,880	104%	2,688,749
Fire	214,000	5,203,903	100%	5,011,333
Non-departmental	34,136,304	37,732,061	111%	37,693,310
Police	214,000	300,172	140%	241,039
Public Works	664,312	777,549	117%	572,783
Recreation	5,473,429	5,164,947	94%	4,575,186
Totals	\$48,682,963	\$52,154,276	107%	\$50,818,269

GENERAL FUND - EXPENDITURES

The Amended General Fund Expenditure budget, including City Council approved FY 2023-24 budget amendments, that increased expenditures by \$6,556,532, totaled \$54,992,117. The year-end projected total is \$52,340,189, which is 5% under the Amended Budget. Personnel costs are the largest component of General Fund expenditures at approximately 75%. Departmental expenditures remained within approved budgets.

Table 4
General Fund Expenditures – Classification
Quarter 4

Classification	Budget Amount (Amended)	YTD – Q4 Projected Amount	% of Budget	Prior YTD – Q4 Actual Amount
Personnel	\$35,358,284	\$35,161,589	99%	\$31,310,928
Purchased Professional & Technical Services	7,347,177	6,236,663	85%	5,433,008
Purchased Property Services	2,846,162	2,213,705	78%	1,924,855
Other Purchased Services	3,558,119	3,387,739	95%	2,870,917
Supplies	940,675	773,975	82%	661,505
Property & Capital	685,138	320,905	47%	521,525
Financing Costs	\$634,368	\$542,633	86%	\$499,083
Other Financing Uses	3,622,194	3,702,980	102%	667,763
Totals	\$54,992,117	\$52,340,189	95%	\$43,889,584

GENERAL FUND PURCHASE ORDER ROLL FORWARD REQUEST

City staff is requesting that the City Council take action by a separate resolution to roll forward \$604,626 in unused General Fund expenditure funds that were encumbered via purchase orders. These purchase orders are for various items that were budgeted and initiated in FY 2023-24 but were unable to be completed or received during the fiscal year. Table 5 shows General Fund Expenditures by Department and illustrates the remaining budget for each Department and the amount requested to roll forward.

Table 5
General Fund Expenditures – Department
Quarter 4

Expenditures	Budget Amount (Amended)	YTD - Q4 Projected Amount	% of Budget	Prior YTD – Q4 Actual Amount	Remaining Budget	PO Roll To FY25
Administration	\$8,076,150	\$7,504,787	93%	\$6,878,595	\$571,363	\$53,930
Community Development	4,892,425	4,267,376	87%	3,454,024	625,049	231,153
Fire	14,873,622	14,646,397	98%	13,249,961	227,225	75,052
Non-departmental	4,111,447	4,049,025	98%	1,005,746	62,422	0
Police	13,663,610	13,143,717	96%	11,906,513	519,893	173,935
Public Works	2,849,926	2,615,498	92%	2,270,269	234,428	18,190
Recreation	6,524,937	6,113,389	94%	5,124,476	411,548	52,364
Total	\$54,992,117	\$52,340,189	95%	\$43,889,584	\$2,651,928	\$604,624
Projected Change in Fund Balance	(6,309,154)	(185,914)				

CONCLUSION

The City of El Cerrito is projected to end FY 2023-24 well within the Amended Budget, with an estimated change in the General Fund balance of approximately (\$185,914). The higher than anticipated revenues and the lower than anticipated expenditures means that instead of the General Fund balance being reduced by \$6.4 million as was approved by the City Council, the projected year-end General Fund balance will improve by \$6.1 million for a projected total of \$22.95 million as shown in Table 6.

Table 6
General Fund Projected Ending Fund Balance Comparison

	Budget (Amended)	Projected	Total Improvement
FY23 General Fund Fund Balance (actual)	\$ 23,143,081	\$ 23,143,081	
Projected Change in Fund Balance	(6,309,154)	(185,914)	
Projected FY24 Fund Balance	16,833,927	22,957,167	
EDRF	(9,000,000)	(9,000,000)	
Section 115	(1,372,890)	(1,372,890)	
FY24 Projected Unrestricted Fund Balance	6,461,037	12,584,277	
FY25 Expenditure Budget	51,352,492	51,352,492	
FY24 PO Roll to FY25	604,624	604,624	
10% Reserve (minimum)	5,195,712	5,195,712	
Discretionary	1,265,325	7,388,566	
FY 24 Projected Ending Total GF FB	\$ 16,833,927	\$ 22,957,167	\$ 6,123,240

Once the FY 2023-24 independent audit is completed and the Annual Comprehensive Financial Report is presented to the City Council, City staff will plan to discuss with the City Council options for the future use of the General Fund balance in accordance with the Comprehensive Financial Policies.